



Department of Energy
Richland Operations Office
P.O. Box 550
Richland, Washington 99352

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APR 22 2016

BENTON CO. TREASURER

16-BUD-0013

APR 18 2016

Mr. Duane A. Davidson, CPA
Benton County Treasurer
P.O. Box 630
Prosser, Washington 99350

Dear Mr. Davidson:

PAYMENT FOR FISCAL YEAR (FY) 2016 BENTON COUNTY PAYMENT IN LIEU OF TAXES (PILT)

This letter is to inform you that due to the lack of sufficient appropriated funds in Program Baseline Summary (PBS) RL-100 for FY 2016, the U.S. Department of Energy (DOE) Richland Operations Office (RL) will only be able to partially pay the first-half installment of the FY 2016 PILT at this time, as requested in your letter to Stacy Charboneau, dated March 11, 2016. RL is attempting to mitigate this budget shortfall, but there is still a significant potential shortfall at this time.

This matter was initially discussed in a March 18, 2016, meeting between Benton County Assessor Bill Spencer and other Benton County staff; and myself, RL Chief of Staff Erik Olds, and RL Budget Director Mark Coronado. At this meeting I shared with meeting participants that the FY 2016 Omnibus Appropriation for RL-100 is approximately \$7 million less than requirements. I also shared that RL has developed a reprogramming request seeking Congressional approval to transfer \$7 million of cleanup funds from other PBS's to PBS RL-100. At the time of writing of this letter, the reprogramming request is being routed through the DOE Headquarters (HQ) approval process. In the event that the reprogramming request is approved by HQ, it will then be submitted to the Office of Management and Budget (OMB) for approval, prior to transmittal to Congress for approval (if approved by OMB). If Congress approves the reprogramming request, we anticipate that we will be able to make full payment of the FY 2016 PILT billing submitted by Benton County, subject to review and verification of the PILT billing for appropriateness by RL.

At this time, we estimate that we will only have sufficient appropriations to pay approximately twenty percent of the FY 2016 PILT billed by Benton County, if our reprogramming request is not approved. This would amount to approximately \$1,473,000. Until we have a final answer on our reprogramming request, we will only be able to make PILT payments at a twenty percent level. This means that RL will only be able to pay \$736,500 of the requested first installment PILT payment of \$3,683,182 by the due date of April 30, 2016.

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We understand that these reductions will present challenges to all involved. Without increased funding in this PBS, or a fundamental change in how the activities are currently funded substantial reductions in funding provided for each PILT activity in FY 2016 will be required. We will continue to communicate with staff in the Benton County Assessor's Office to communicate the current status of this matter.

If you have further questions, you may contact me, or your staff may contact Mark A. Coronado, Budget Division Director, on (509) 376-5363.

Sincerely,



Gregory A. Jones, Assistant Manager
for Business and Financial Operations/
Chief Financial Officer

BUD:DLD

cc: Bill Spencer, Benton County Assessor